A meeting was arranged between Talwar and Morarji. Morarji accused Talwar of mendacity and a cover up in the Nagarwala episode since he said that he was sure that the money belonged to Indira Gandhi. Talwar's answer left him struggling for a reply. 'Mr Prime Minister if you are all that sure that the money belonged to Ms Gandhi and since the money has been recovered, why don't you hand it back to Ms Gandhi?'[49] Morarji then changed the subject and asked Talwar what problem he had in accepting the post offered. Talwar told him that he had not come to him for a job. He then told Morarji that he (Morarji) had been trying to bully him ever since he entered the room, and that if leaders like him did that then there was no way that people could eschew fear. Taken aback, Morarji asked Talwar to place himself at his disposal and he would decide how best to utilize his services. Talwar told Morarji that he had placed himself at the disposal of the divine long ago, and he was not going to change that decision.

When Charan Singh became the Prime Minister, Talwar was appointed the Chairman of IDBI in 1979. According to S.A. Dave, Manmohan Singh, who was then Secretary, Department of Economic Affairs in the Finance Ministry, backed Talwar for the post.[50] Talwar, however, continued to retain his accommodation in Pondicherry even after moving to Bombay. He probably guessed that this appointment would not last long. He was proved right. In 1980, Indira Gandhi returned to power. Talwar was not asked to leave immediately but within a few months there were rumours that he was to be replaced. He asked Finance Minister R.Venkatraman about it who said that he too had heard rumours. When Talwar told him that as the Finance Minister, it was he who had to decide such things, Venkatraman said: 'Talwar you know how things are decided in Delhi.'[51] Talwar then handed in his letter of resignation which he had carried with him and returned to Bombay. He then retreated to Pondicherry where he lived till his demise in April 2002. A. Chandramouliswaran, former Executive Director of the RBI, recalls how in 1988 Talwar did not send his bio-data to the RBI when there was talk that he was being considered for appointment to its Central Board. He says that perhaps Talwar knew that he would not be able to perform his duties with the same fierce independence of the past.[52]

German Chancellor, Konrad Adenauer, is known to have remarked, 'We all live under the same sky, but we don't all have the same horizon.' This pithy observation summarizes remarkably well why certain individuals